GMS WEEKLY

Your Source for Recycling News

July 7th, 2023
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Week 27

Highlights:

- **Lacking movement.**
- **Waiting game.**
- **No financing.**
- **Stability needed.**
- **Fundamentals ok.**
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QUOTE of the WEEK

**"A lot of people are afraid to say what they want.
That's why they don't get what they want."**

– Madonna

MARKET COMMENTARY

LETHARGIC!

With many sub-continent yards still closed post Eid holidays, mixed in with the ongoing monsoon season, and all of it brewing in a stew of a total lack of tonnage, it has certainly been another lethargic and inactive week (and a majority of the year so far) for recycling sales as we enter the 3rd quarter of 2023 and prices being quoted are so unworkably below market expectations at present, a bounce back anytime soon seems unlikely.

As such, before proposing any further candidates, most Cash Buyers and (especially) Ship Owners have decided to continue to wait and watch the markets for greater stability and a better handle on pricing.

Meanwhile, after a couple of volatile quarters, fundamentals presently seem to have leveled out across the board in the Indian sub-continent and even Turkish recycling markets, where steel plate prices and currencies (except in Pakistan) seem to have found a brief plateau of peace.

Moreover, an ongoing lack of workable Letters of Credit (L/Cs) & financing in Pakistan and even in a post-budget Bangladesh is once again driving prices and demand down as the Central Government Bank in Bangladesh seeks to impose tougher limits on the expenditure of its precious U.S. Dollar reserves.

Overall, amidst the ongoing crippling lack of tonnage, those Owners with units closer to recycling age have been seriously reconsidering placing their vessels back into service and are invariably adding to the growing lack of tonnage.

With monsoon's being the only silver-lining for the sub-continent markets – in that cutting activities come to a crawl as it is - it certainly seems to be a quieter July (and perhaps even August) headed the industry's way.

For week 27 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Stable	575 / LDT	605 / LDT	625 / LDT
2	India	Stable	520 / LDT	540 / LDT	560 / LDT
3	Pakistan*	Weak	510 / LDT	530 / LDT	550 / LDT
4	Turkey	Steady	320 / LDT	330 / LDT	340 / LDT

**Subject L/C approval*

BANGLADESH

HARDER TO COME BY!

Approvals struggle.

It has been another week of virtually no buying as the shortage of tonnage (post-Eid) rages on and most End Buyers remain away from their offices, either on holiday, or now, once again chasing local banks in order to seek financing on any prospective purchases they may be looking to secure for their emptying yards.

Since the start of the year, it has been a difficult affair to transact units for recycling into Bangladesh due to the first set of L/C limits. However, as limits eased, especially on smaller LDT (less than 10K LT) vessels, Bangladeshi Recyclers gradually started to find a way back to the buying.

Little sense.

Unfortunately, right after the recent budget of June 1st was announced, the government seems to have cracked down on the domestic budget for U.S. Dollar reserves once again and imposed a fresh batch of restrictions on the issuance of fresh L/Cs.

It may therefore take several weeks before domestic recyclers work out how they can buy tonnage and at what workable levels the central bank will approve any L/Cs moving forward.

As such, with L/Cs harder to open and no meaningful tonnage on offer, opportunistic offers have been forthcoming from some domestic Recyclers, especially on the dwindling supply of tonnage being proposed for sale.

While no Ship Owner or Cash Buyer would be willing to sell at such lowly rates, even the industry at large is taking notice and is unwilling to even introduce vessels for a potential Chattogram re-delivery – at least until some sensible offers / L/C stability returns.

NO MARKET SALES REPORTED

INDIA

GAINING GROUND!

Looking up.

While Indian fundamentals (local steel plate prices and the Indian Rupee) recorded some improvements over the last couple of weeks, this week, a different story played out as steel plate prices registered some volatility to end the week slightly weaker, all while the Indian Rupee took a nosedive past Rs. 82.70, only to end the week at levels north of Rs. 82.50 against the U.S. Dollar.

Supply impact.

However, unlike the rest of the sub-continent recycling industry, India has not suffered any L/C or financing issues over the year and this has certainly helped them offer on and even secure vessels on an ongoing basis – including their precious HKC units.

Moreover, even of late, there have been some HKC green sales concluded into Alang – including an LNG and a few MSC containers – and this is starting to compel recycling neighbours to compete and up their offers, if they stand any chance at securing any vessels – especially amidst the ongoing L/C issues in Pakistan and now in Bangladesh.

Finally, we anticipate that the ongoing slowdown in the supply of tonnage will likely continue through the next month (or two), as shipowners head off on summer holidays and it is expected to be quieter (in terms of sale and purchase activity) over these monsoon months.

NO MARKET SALES REPORTED

PAKISTAN

NO EFFORT!

Missing out.

Far from competing against any of their sub-continent competitors at present, Pakistani Recyclers cannot even compete amongst themselves for tonnage – so dire and low have Pakistan's U.S Dollar Reserves been for much of this year, causing the Pakistani Rupee to depreciate uncontrollably.

In fact, over the last couple of weeks, Pakistan was on the verge of running out of all its U.S. Dollar funds until the IMF (in addition to several other nations) stepped in this week and provided a financial U.S. Dollar stimulus package to Pakistan.

Ongoing struggles.

While this did not help local steel plate prices, which have remained horizontal for practically most of this year, the Pakistani Rupee did however, immediately receive a boost and firmed up to PKR 277 (from PKR 287) against the U.S. Dollar.

As the shortage of tonnage continues and India takes in its share of regular and HKC tonnage, Pakistani Recyclers have yet to make any efforts at improving their facilities during this downtime, especially so that they maybe in a position to compete even strongly against its sub-continent neighbors.

Of course, the Pakistani economy has struggled significantly as leaders have been ousted while the local currency has also collapsed, and this has seen end buyers and banks retreating from the buying of ships for recycling altogether.

NO MARKET SALES REPORTED

TURKEY

ON PAUSE?

Post-Eid, the Turkish market seems to have gone through a bit of a pause, as local fundamentals came together in unison and reported no changes for the week.

Unison.

Surprising much of the industry was the Lira that reported no further declines as it ended the week at levels just north of TRY 26. Even imported and local steel plate prices have reported virtually no change for the week.

As post Eid-holidays / celebrations continue amidst the ongoing shortage in the availability of tonnage and a Lira that is completely unsupportive of current offers, it remains to be seen just where (USD / MT) or when this market will open for business 'as usual'.

Business 'as usual'.

For now, like the rest of its industry counterparts, it ended a quiet week in Aliaga.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The deadliest earthquake in recorded history took place in southwest Syria in 1201. The deaths were counted as high as 1.1 million.*
- *There are three parts to an atom: protons, neutrons, and electrons. They each balance each other out so the atom doesn't break apart.*
- *There are over one hundred different kinds of atoms that we know exist. There are many atoms and elements we haven't discovered yet.*
- *The word "atom" comes from the Greek words for "uncuttable" or "undivided".*
- *The human body is made up of an average of seven billion atoms.*
- *The average diameter of an atom is one tenth of a billionth of a meter.*
- *Atoms are composed of even smaller particles called quarks and leptons.*
- *The human body replaces 98 percent of those atoms every year.*
- *If the sun was filled up with Earths, you could fit about one million Earths inside the sun. If you compressed all the Earths, you could get up to 1.3 million Earths inside the sun.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
July 28 – July 29 - Ashura	June 30 – July 09 July 13 – July 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
July 29 - Ashura	July 03 – July 06 July 18 – July 21

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No Holidays in July	July 27 – July 28 – Ashoora	July 15 – Democracy and National Solidarity Day

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ALANG - Port Position as of July 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Lara	23,707	LNG Carrier	Arrived July 07
2	*MSC Federica*	*23,740*	*Container*	*Beached July 06*
3	*MSC Nicole*	*14,305*	*Container*	*Beached July 02*
Total Tonnage		**61,752**		

CHATTOGRAM - Port Position as of July 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Chian Jin	1,416	Reefer	Arrived June 27
2	*DPL Ayur*	*1,020*	*General Cargo*	*Beached July 07*
3	Hao 3	4,767	General Cargo	Arrived July 01
4	Hong Hao	11,857	General Cargo	Arrived June 20
5	Hua Dong 27	3,520	General Cargo	Arrived July 06
6	*Jasmine II*	*9,563*	*Bulk Carrier*	*Beached July 06*
7	*SCO Qingdao*	*3,771*	*Container*	*Beached July 07*
Total Tonnage		**35,914**		

GADANI - Port Position as of July 07, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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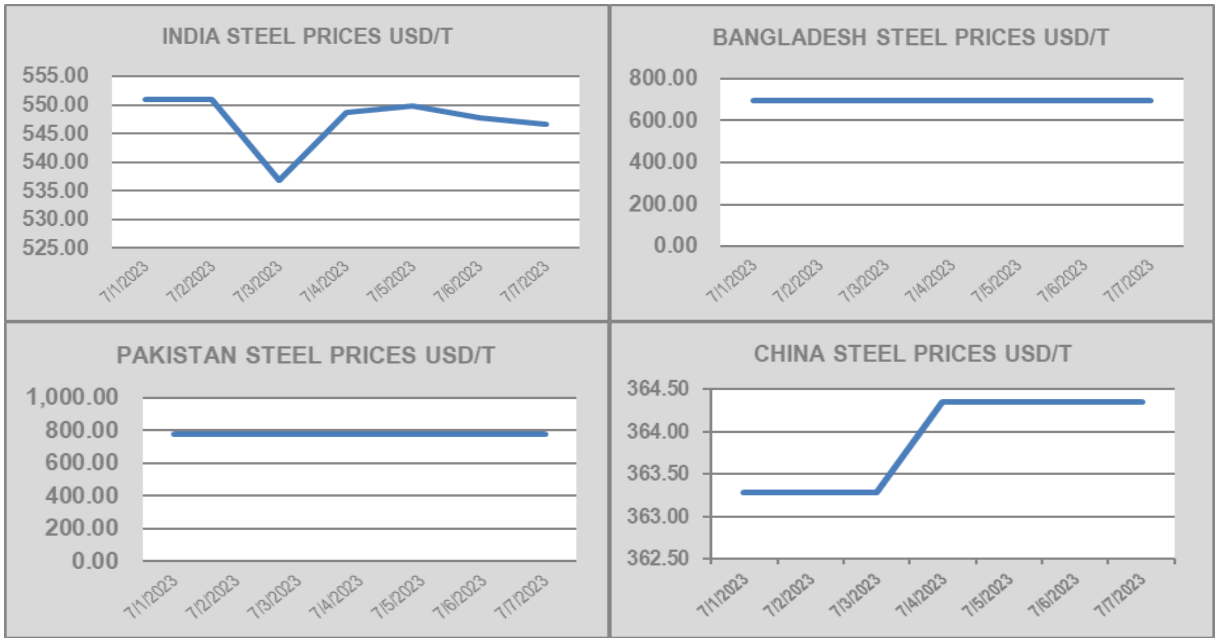
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/1/2023	550.88	45,200.00	777.39	220,000.00	695.24	73,000.00	363.28
7/2/2023	550.88	45,200.00	777.39	220,000.00	695.24	73,000.00	363.28
7/3/2023	536.85	44,000.00	777.39	220,000.00	695.24	73,000.00	363.28
7/4/2023	548.65	45,000.00	777.39	220,000.00	695.24	73,000.00	364.35
7/5/2023	549.74	45,200.00	777.39	220,000.00	695.24	73,000.00	364.35
7/6/2023	547.81	45,200.00	777.39	220,000.00	695.24	73,000.00	364.35
7/7/2023	546.62	45,200.00	777.39	220,000.00	695.24	73,000.00	364.35



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